MANUFACTURING OUTLOOK

The most important structural change in the Palestinian economy during the past quarter century has been the establishment of modern manufacturing. This development is due primarily to Jewish enterprise and capital. In 1943 about five-sixths of the total gainfully occupied in manufactures were employed in Jewish-owned enterprises. While the Jewish population of Palestine increased over five times between 1921 and 1943, employment in Jewish-owned manufactures (including handicrafts) increased ten times.

In 1939 about 17.0 percent of the Jewish labor force was employed in manufactures (compared with 20.3 percent in the United States on April 1, 1940). Under the stimulus of wartime opportunities, employment of Jews in manufactures rose to ~~23.5~~ 25.6 percent in 1943. The occupational structure of the Jewish community of Palestine is, therefore, broadly similar to that of the United States.

As manufactures have expanded, the range of products has widened, and the representative manufacturing enterprise has become larger and more mechanized. In 1937 only 16 manufacturing firms employed over 100 workers; in 1942 there were 50 such firms. Even in 1937 the Palestinian Jewish manufacturing worker was equipped with an average of $1,330 of capital (apart from the value of land and buildings); the United States worker had only $1,900 worth. During the late 1930's Palestinian industry was engaged primarily in the production of simple consumer goods and building materials for local markets, and its only important manufactured export was potash. Now it produces most of its own requirements of manufactures and exports (in addition to potash) other chemicals, finished diamonds, drugs, cosmetics, fruit juices, quality wearing apparel and a variety of other articles.

The progress of Arab manufactures has been much more limited. While some mechanization in the production of present-type output by Arab manufacturers is to be anticipated, there is no current basis for distinctively new lines of Arab manufactures. The